

4-3b Market Supply versus Individual Supply

Just as market demand is the sum of the demands of all buyers, market supply is the sum of the supplies of all sellers. The table in [Figure 6](#) shows the supply schedules for the two ice-cream producers in the market—Ben and Jerry. At any price, Ben's supply schedule tells us the quantity of ice cream that Ben supplies, and Jerry's supply schedule tells us the quantity of ice cream that Jerry supplies. The market supply is the sum of the two individual supplies.

Figure 6

Market Supply as the Sum of Individual Supplies

The quantity supplied in a market is the sum of the quantities supplied by all the sellers at each price. Thus, the market supply curve is found by adding horizontally the individual supply curves. At a price of \$4, Ben supplies 3 ice-cream cones and Jerry supplies 4 ice-cream cones. The quantity supplied in the market at this price is 7 cones.

The graph in [Figure 6](#) shows the supply curves that correspond to the supply schedules. As with demand curves, we sum the individual supply curves *horizontally* to obtain the market supply curve. That is, to find the total quantity supplied at any price, we add the individual quantities, which are found on the horizontal axis of the individual supply curves. The market supply curve shows how the total quantity supplied varies as the price of the good varies, holding constant all other factors that influence producers' decisions about how much to sell.

Chapter 4: The Market Forces of Supply and Demand: 4-3b Market Supply versus Individual Supply

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